HOTEL PRICING ANALYSIS & DATA-DRIVEN DECISION INSIGHTS

Combining Hedonic Model Thinking with Market Data

Learning Team:- 1

Python Code File Link

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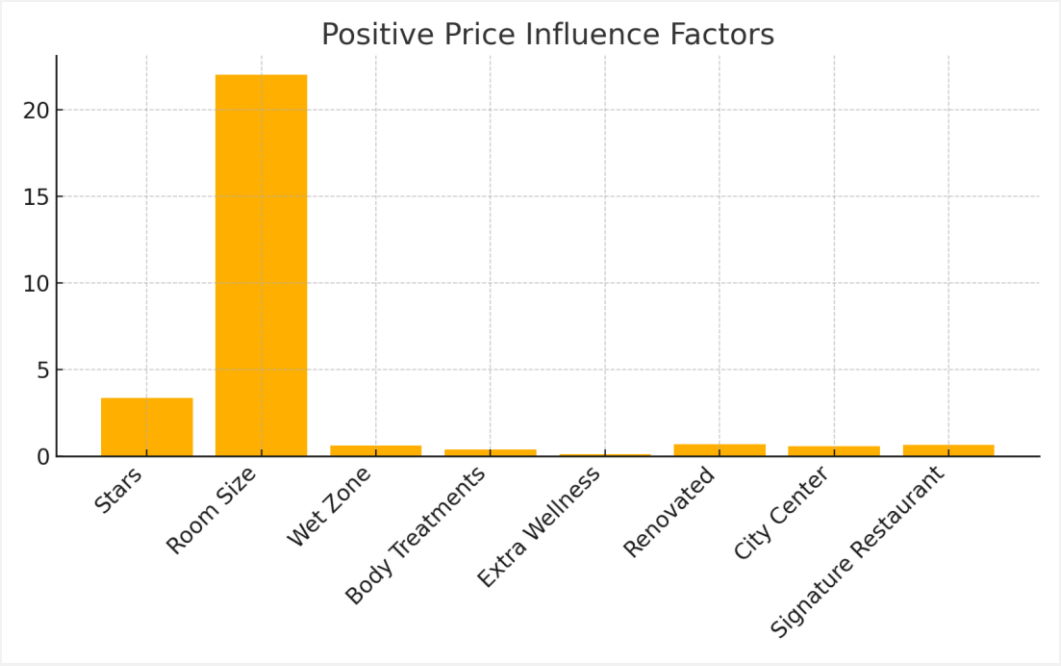
CHATEAU DE MONTANA: HOTEL ISSUE OVERVIEW

- Hotel struggling with low ADR in both high and low seasons.
- Needs renovation to meet modern guest expectations.
- Facing high competition with varied amenities and pricing.
- Requires data analytics to simulate achievable room pricing.

NEED FOR DATA ANALYTICS

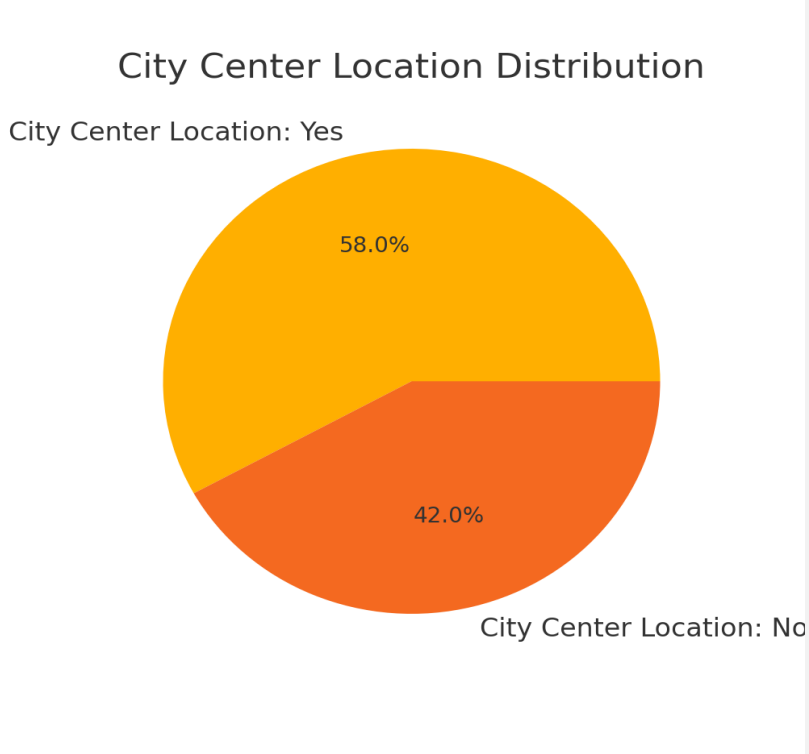
- Market hotels differ across 20+ characteristics—manual comparison fails.
- Hedonic model helps isolate price impact of each feature.
- Enables simulation of future room prices after renovation.
- Supports evidence-based decision-making for investments.

POSITIVE PRICE INFLUENCE FACTORS



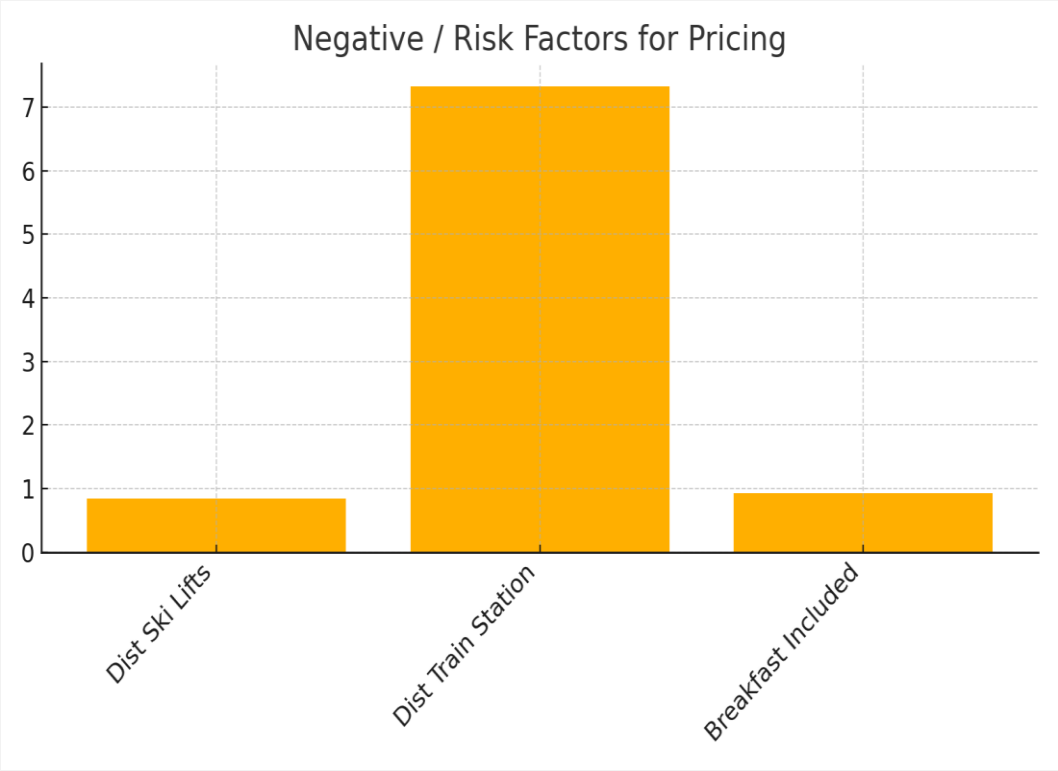
- Bigger rooms help justify higher rates.
- Wellness features strongly push ADR up.
- Renovation keeps the hotel competitive.
- City-center location increases demand.

CITY CENTER APPEAL INSIGHT



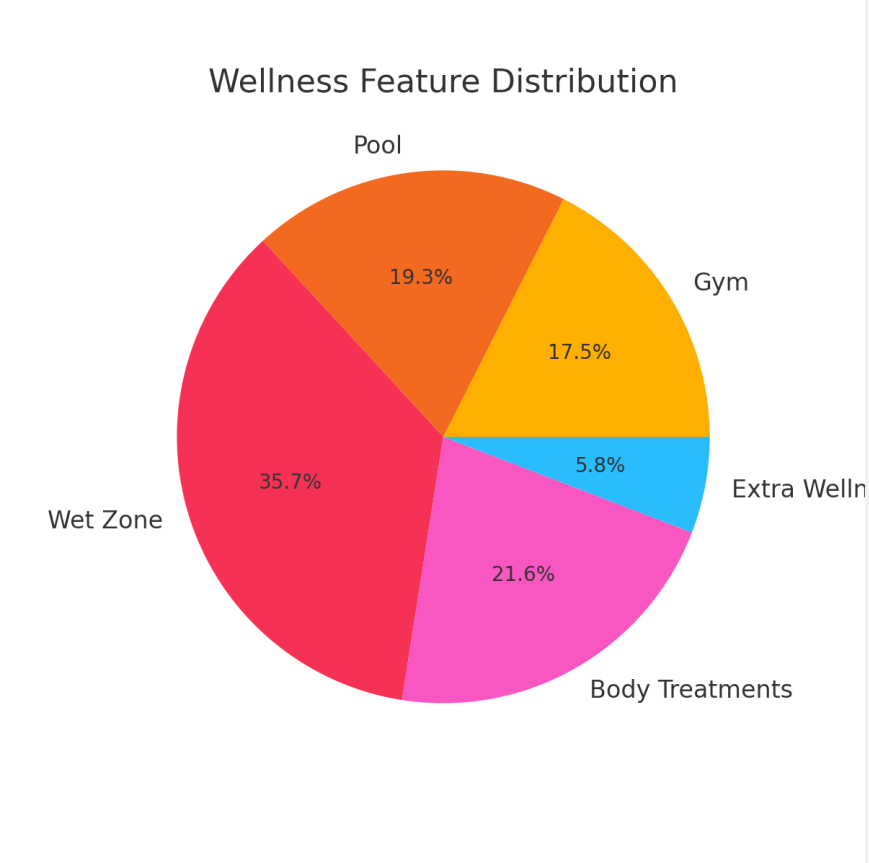
- City-center boosts walkability and convenience.
- Noise may affect ratings—soundproofing helps.
- Strong location advantage for demand.

NEGATIVE RISK PRICING FACTORS



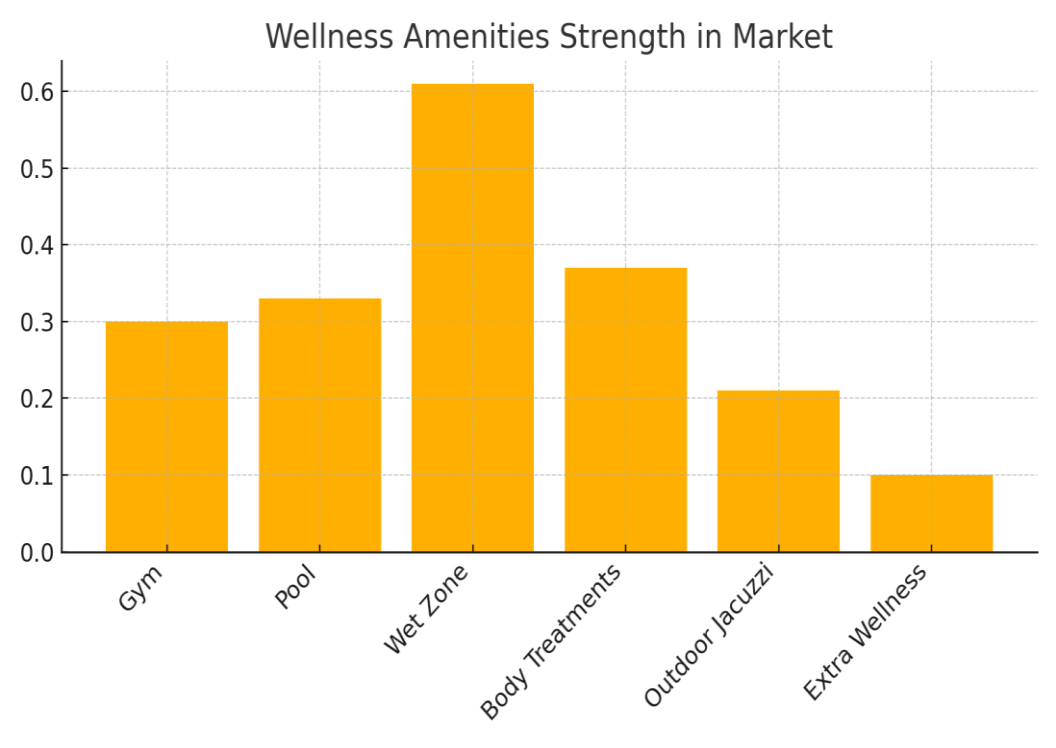
- Far train station reduces convenience.
- Most hotels include breakfast—missing it hurts value.
- Strong advantage: close to ski lifts.

WELLNESS DISTRIBUTION INSIGHT



- Wet zone + treatments dominate wellness offers.
- Extra wellness is uncommon and differentiates the hotel.
- Strongest driver for premium pricing.

WELLNESS AMENITIES STRENGTH IN MARKET



- Wellness is a major pricing driver.
- Wet zone and treatments are now expected.
- Extra wellness is rare and adds premium appeal.

FINAL PRICE SIMULATION (BASED ON HEDONIC INSIGHTS)

- The market's average hotel price starts at **CHF 212**.
- Upgrading to a **4-star hotel** adds around **CHF 40** in value.
- Strong **wellness facilities** (wet zone, treatments, extra wellness) add about **CHF 60**.
- A **signature restaurant** and **city-center location** together add meaningful premium value.
- After adding positives and subtracting weaknesses (no breakfast, lower rating), the hotel's **estimated high-season rate** lands around **CHF 325–360**.